Stock Market Investing 101

# Module 4 Study Guide

## Portfolio Diversification

This guide covers every lesson of the module, using only words and figures from the lessons themselves. Work through it after watching the lessons, then use the checklist at the end to test yourself.

## Lesson 1: Why Diversification Protects You

**In this lesson: Single-Stock Risk Explained; Spreading Across T&T Sectors; Mixing Asset Classe**

### Key points

- Single-stock risk leaves capital exposed to corporate shocks @ "Single-stock risk leaves your money vulnerable to sudden corporate setbacks"
- Spreading assets cushions portfolios when specific investments drop @ "Spreading your funds across different companies, local sectors, and asset types"
- Diversification transforms severe drops into manageable bumps @ "diversification transforms a painful 30% hit into a manageable minor bump"

### Examples from the lesson

- I’m your instructor, and you are tuning in to Stock Market Investing 101.
- We are kicking off Module 4, "Portfolio Diversification," with Lesson 1: "Why Diversification Protects You."
- But if your passengers are heading to different events, a beach lime in Maracas, or a family gathering in Arima, one bad event doesn't ruin the whole trip for everyone.
- Spreading your TT$ across different companies, industry sectors, and asset types ensures that a downturn in one area does not wipe out your financial progress.
- Let's work through a practical TT$ example to see the numbers in action. Suppose you have TT$ 10,000 to invest. If you place the entire TT$ 10,000 into a single local manufacturing stock and that company suffers a major plant outage causing a 30% drop, your portfolio loses TT$ 3,000, leaving you with just TT$ 7,000.
- Now, let's look at a diversified approach with that same TT$ 10,000.
- Instead of putting everything in one spot, you spread it out across four equal portions of TT$ 2,500 each.
- You allocate TT$ 2,500 to a local bank stock, TT$ 2,500 to a consumer goods stock, TT$ 2,500 to an energy stock, and TT$ 2,500 to a government bond unit trust.
- Suppose that same manufacturing sector shock hits, causing your consumer goods stock to fall by 30%, which reduces its value from TT$ 2,500 down to TT$ 1,750—a loss of TT$ 750.
- Meanwhile, your bank stock stays flat at TT$ 2,500, your energy stock grows by 5% to TT$ 2,625, and your bond unit trust yields a steady return, growing to TT$ 2,550.

- When you total up your holdings, your consumer goods stock sits at TT$ 1,750, your bank stock at TT$ 2,500, your energy stock at TT$ 2,625, and your government bond trust at TT$ 2,550.
- Adding those four positions gives you a new portfolio total of TT$ 9,425.
- Your net loss is only TT$ 575, or less than 6%, compared to the TT$ 3,000 loss from holding just one stock.
- Spreading your funds across different companies, local sectors, and asset types cushions your portfolio when one investment experiences a drop.
- As we saw in our TT$ 10,000 example, diversification transforms a painful 30% hit into a manageable minor bump, keeping your long-term wealth building strategy right on track.
- In our next lesson, Lesson 2: "Building a Balanced Sample Portfolio," we will take these principles and design a step-by-step model portfolio tailored specifically for a Trinidad & Tobago investor.

## Lesson 2: Building a Balanced Sample Portfolio

**In this lesson: Defining Portfolio Objectives; Setting the Growth Bucket; Setting the Defensive**

### Key points

- Set goals timeline and risk tolerance first
- Split capital between growth assets and defensive assets
- Use local equities bonds and credit union accounts

### Examples from the lesson

- I’m your instructor, and you are tuning in to Stock Market Investing 101, Module 4: Portfolio Diversification, Lesson 2: Building a Balanced Sample Portfolio.
- Before you invest a single dollar, you must define three core elements: your specific goal, your time horizon, and your personal risk profile.
- Imagine saving for a down payment on a house in Chaguanas in seven years versus putting money away for a child’s university education in fifteen years.
- Let’s walk through a complete worked example using a total starting sum of TT$10,000.
- Suppose your goal is long-term growth over a ten-year horizon, and you have a moderate risk profile.
- Instead of putting all your cash into one favorite stock, you decide to spread it across different asset classes on the Trinidad & Tobago Stock Exchange and local financial institutions.
- We will divide our TT$10,000 into two main buckets: Growth Investments and Defensive Investments.
- Under Growth, we allocate TT$4,000 to local dividend-paying equities like established commercial banks and manufacturing companies.
- Next, we put TT$3,000 into a broad cross-border regional equity fund to catch growth across the wider Caribbean.

- This gives us a total Growth allocation of TT$7,000, or 70 percent of our total portfolio.
- For the Defensive side, we allocate TT$2,000 to fixed-income government bonds or bond funds.
- Finally, we keep TT$1,000 in a local credit union ordinary account or money market fund as liquid cash reserves.
- That gives us a total Defensive allocation of TT$3,000, or 30 percent of our portfolio.
- When you add TT$7,000 in Growth to TT$3,000 in Defensive, you arrive at your total balanced portfolio of TT$10,000.
- You aren't leaving your hard-earned dollars at the mercy of one company's bad news.
- It’s just like not putting all your doubles in one bag when walking through town.
- Building this portfolio isn't a one-time event; it’s an ongoing habit.
- In our next lesson, Rebalancing and Reviewing Your Portfolio, we’ll learn how to keep this TT$10,000 allocation on track over time as market prices change.

## Lesson 3: Rebalancing and Reviewing Your Portfolio

**In this lesson: Understanding Portfolio Drift; Setting a Scheduled Review Routine; Calculating**

### Key points

- Rebalancing restores your chosen portfolio risk level
- Calendar-based reviews eliminate emotional trading decisions
- Systematic rebalancing enforces buying low and selling high

### Examples from the lesson

- I’m glad you’re here for Stock Market Investing 101, Module 4 on Portfolio Diversification, Lesson 3: Rebalancing and Reviewing Your Portfolio.
- If you do not service the maxi regularly, it starts pulling to one side, risking a crash.
- When you first set up your portfolio, you decided on an asset allocation target, such as sixty percent local stocks and forty percent Trinidad and Tobago dollar bonds.
- But over six months or a year, some of your stocks might enjoy a strong run while bond prices remain quiet.
- You should pick a set routine to check your mix, such as every six months or once a year, rather than reacting to daily market news.
- Imagine you started with a total portfolio of TT$10,000, targeted at sixty percent stocks, which is TT$6,000, and forty percent bonds, which is TT$4,000.
- After one full year, local stock prices rise significantly, bringing your stock value up to TT$7,500, while your bond value stays at TT$4,000. Your total portfolio value is now TT$11,500. However, if you calculate the math, your stock holdings now represent about sixty-five percent of your total portfolio, while your bond holdings have dropped to thirty-five percent.
- To rebalance back to your target sixty-forty mix, you calculate sixty percent of your new TT$11,500 total, which gives a target stock value of TT$6,900.

- Forty percent of TT$11,500 gives a target bond value of TT$4,600.
- To reset your mix, you sell TT$600 worth of your stocks and buy TT$600 worth of bonds.

# Recap checklist — can you say each one?

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☐ Diversification transforms severe drops into manageable bumps @ "diversification transforms a painful 30% hit into a manageable minor bump"

### Lesson 2: Building a Balanced Sample Portfolio

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☐ Split capital between growth assets and defensive assets

☐ Use local equities bonds and credit union accounts

### Lesson 3: Rebalancing and Reviewing Your Portfolio

☐ Rebalancing restores your chosen portfolio risk level

☐ Calendar-based reviews eliminate emotional trading decisions

☐ Systematic rebalancing enforces buying low and selling high